

preneurs don't have the right connections with the ruling clique. In Japan you have a strong corporate culture but no shareholder culture. Everything that is done is designed for the benefit of the company. Concern for shareholders isn't valued very highly.

In the rest of the Far East, including China, you do have a great many entrepreneurs and start-up businesses, mostly family businesses. The question then is how many of these family-oriented businesses, many of them growing very rapidly, are going to have the ability to become true public companies, because one of these days they are going to run out of cousins. Can family cultures turn into institutionalized big businesses? It's a tough transition.

Overseas Themes

Themes may be even more important when investing in foreign markets than in our own, because it's vital abroad to have a long-term reason to hold a stock. Maybe because I'm a Chicagoan, familiar with how the Board of Trade and Mercantile Exchange operate, I've learned that you really can't outrade the locals. They're pretty smart. If you want to day-trade soybeans in the United States, you'd better get in the pit and become one of the boys. In many foreign markets, too, you are up against strong trading mentalities. These fellows really like to roll the dice, and since inside trading is permissible and rife, the dice can be loaded. In Hong Kong and Thailand, as strong examples, the turnover is very high and stories are everywhere. If you, as an outsider, try to trade on stories, you are going to end up two weeks behind.

So the secret is to become a long-term investor, to adopt a different time scale from the one most of the locals go by. Then their edge washes out over time. The locals are just interested in running a stock up 25 percent and selling it. If you can be in for the long haul—sometimes buying the stocks the nationals are dumping—